

PCB Industry in India: Marching Ahead

Poor government policies and increased imports have always been major threats to PCB manufacturers and suppliers in India, but the industry is growing and expanding to other verticals, and still harbours huge potential. Let us see how

ANAGHA P. AND DILIN ANAND

India has become a strong and attractive global destination for PCB manufacturers over the past few years. The global PCB manufacturing market is expected to increase from \$62.3bn in 2013 to \$74.31bn in 2018, growing at a compound annual growth rate (CAGR) of 3.6%, according to a Research and Markets report published this year.

By regional growth rates, Asia Pacific (APAC) is likely to be the leader of the industry over the next five years. Industry growth is anticipated to be driven by expanding demand for high-end products from consumers in India and China.

What's driving the Indian market?

According to an Indian Electronics and Semiconductor Association (IESA) report, supported by the Department of Electronics and Information Technology (DeitY), PCBs feature among the top four components contributing to the bill of material (BoM) across major electronic products consumed, particularly in products such as power supplies, set-top boxes, car radios and many other digital instruments.

"Regardless of the issues discussed, we foresee many opportunities in the Indian industry. The demand for PCBs in this market has only increased over recent years, and there is a CAGR

of approximately 35% year over year," says Viral Bhulani, president, Indian Printed Circuit Association (IPCA). He adds, "Furthermore, with the Internet of Things coming into play in the electronics arena, manufacturing units are now getting orders for PCBs that

very good in this sector. In spite of the dramatic devaluation of rupee in the previous year, the suppliers of PCBs in India were generally able to maintain the prices.

The customers have also become more value-conscious; more than ever they now demand reliable and high-grade PCBs. These two factors coming together help drive local PCB manufacturing.

Besides, with the Internet of Things coming into play in the electronics arena, manufacturing units are now getting orders for PCBs that are highly customised and specially processed for specific purposes, for which

Indian PCB industry has strengths in.

The ability of Indian PCB firms to closely work with the customers, and the excellent technical services they provide, have led many designers to choose domestically-manufactured PCBs over imported ones. Availability of flexible payment schemes, ability to handle sudden demand for increase in production, or demand for slowing down a little, makes Indian PCBs a better option for domestic electronics manufacturers.

Krishna Rao, chairman, Sulakshana Circuits Ltd, is confident that, in the next 10 years, plants that manufacture raw materials for PCBs will come up in India, and that this would enhance the industry.

The presence of supporting organisations is also somewhat of a boon to industry growth, though not all deci-

are highly customised and specially processed."

For small batches of PCBs, domestic products turn out to be cheaper, while still providing better quality than imports. This has enabled domestic manufacturers to grow by taking over business from foreign competitors.

The local PCB industry not only serves the domestic market but also serves the export market; around 24 per cent of the total PCBs manufactured annually is exported. Indian PCB manufacturers have also enhanced their capabilities from single- and 2-layered PCBs to 16- or even 24-layered PCBs. The PCBs export has grown by nearly 26%.

The stability of prices is usually



Courtesy: scipcb.com